

Deals and Development: Stakeholder Profiles from Institutional Data

Mapping V-Dem and QoG indicators to the Pritchett-Sen-Werker typology

Institutional Complexity Project

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Contents

Framing	2
Data	2
V-Dem and macro panel	2
Axis construction	2
Transparent rules	3
Common infrastructure	3
Specialized infrastructure	3
Contract enforcement	4
Subsidies / clientelism	4
Exclusivity	5
Axis scoring	5
Stakeholder fit scores	5
Top countries by stakeholder fit	6
Stakeholder profile of selected countries	7
Axis profile of archetypal countries	8
Sanity checks	9
Magician fit vs. Economic Complexity	9
Powerbroker vs. magician fit	10
Outputs	11
Caveats and next steps	11

Framing

Pritchett, Sen & Werker (2018, *Deals and Development*, OUP) classify firms on two axes — target market (export vs. domestic) $\times$ source of profit (regulatory rents vs. market competition) — yielding four stakeholder types: **magicians** (export, competitive), **workhorses** (domestic, competitive), **rentiers** (export, regulatory rents), and **powerbrokers** (domestic, regulatory rents). Each type demands a different policy bundle along six axes (Table 1.1, p. 22):

	Transp. rules	Common infra	Special. infra	Contract enf.	Subsidies	Exclusivity
Magicians	x	x	x	x	x	
Workhorses	x	x		x		
Rentiers			x	x	x	x
Powerbrokers						x

We treat realised institutional outcomes as **revealed bargaining power**: a country whose institutions strongly supply the policy bundle a stakeholder demands is one where that stakeholder has been winning. The deliverable is a country-by-stakeholder fit score, interpreted as a qualitative read on which coalition has shaped each country’s institutional landscape.

Data

V-Dem and macro panel

Latest V-Dem year: 2025

Table 1: Indicators per policy-demand axis

Axis	# indicators
transparent_rules	5
common_infra	5
specialized_infra	6
contract_enforcement	6
subsidies_clientelism	4
exclusivity	5

Panel: 179 countries $\times$ 30 indicators

Axis construction

For each of the six policy demands we pick a small basket of V-Dem and QoG/macro indicators. The construction recipe is the same for every axis:

1. **Percentile-rank globally.** Each indicator is converted to its percentile within the country panel, putting it on $[0, 1]$ regardless of the original scale (V-Dem ordinal, QoG continuous, WDI in raw units, etc.). This avoids letting a single wide-ranged variable dominate the average.

2. **Sign-flip where needed.** Some indicators are coded so that higher values mean *less* of the demand being supplied (e.g. V-Dem’s `v2psparban` runs from 0 = “parties banned” up to 4 = “no party ban”, so high values mean *less* exclusivity). Those get flipped to `1 - pct` before averaging.
3. **Mean within axis.** The axis score is the unweighted mean of indicator scores. Missing values are dropped from the mean, so a country with partial coverage still gets scored on what’s available.

The result is a country $\times$ 6-axis matrix on $[0, 1]$ where higher = the country supplies more of what that policy demand is asking for.

Transparent rules

PSW define this as predictable, publicly known regulation — firms can plan based on rules they can read, not deals they have to negotiate. V-Dem’s `v2cltrnslw` is a near-verbatim match. We add `v2x_rule` (the V-Dem rule-of-law composite) for breadth, and `v2clrspct` to capture the *bureaucratic* face of transparency: do public officials apply rules even-handedly. From QoG we cross-reference with the World Bank governance indicators `wgi_rle` (Rule of Law) and `wgi_rqe` (Regulatory Quality), which are noisier but the most widely cited benchmarks. All five run the same direction (higher = more transparency) so no sign-flipping is needed.

Indicator	Source	Direction	Gloss
<code>v2cltrnslw</code>	V-Dem	+	Transparent laws with predictable enforcement
<code>v2x_rule</code>	V-Dem	+	Rule of law (V-Dem composite)
<code>v2clrspct</code>	V-Dem	+	Rigorous and impartial public administration
<code>wgi_rle</code>	QoG/macro	+	WGI Rule of Law
<code>wgi_rqe</code>	QoG/macro	+	WGI Regulatory Quality

Common infrastructure

The PSW demand is for the public goods every firm benefits from — electricity, water, basic education, transport. V-Dem doesn’t measure infrastructure stocks, but `v2dlencmps` (particularistic vs. public-goods budget mix) is a fiscal proxy for whether the state *spends* on broadly shared infrastructure rather than targeted patronage. The remaining four indicators are outcome-side WDI/PWT measures: electricity access, basic water access, secondary enrolment, and the Penn World Tables human-capital index. Together they capture both spending intent and realised supply. All five run positively.

Indicator	Source	Direction	Gloss
<code>v2dlencmps</code>	V-Dem	+	Particularistic vs. public-goods spending
<code>wdi_eg_elc_accs_zs</code>	QoG/macro	+	Electricity access (% pop.)
<code>wdi_sh_h2o_basw_zs</code>	QoG/macro	+	Basic drinking water access (% pop.)
<code>wdi_se_sec_enrr</code>	QoG/macro	+	Secondary school enrolment (gross %)
<code>pwt_hc</code>	QoG/macro	+	Penn World Tables human-capital index

Specialized infrastructure

This is the demand for sector-specific public investment that benefits a subset of firms — special economic zones, port facilities, R&D infrastructure, regulatory bodies that handle complex industries. V-Dem doesn’t capture this directly, so we lean entirely on outcome-side proxies. `wdi_lp_lpi_infr_xq` (Logistics Performance Index — infrastructure) and `wdi_is_shp_gcnw_xq` (port connectivity) measure trade-enabling specialized infrastructure; `wdi_gb_xpd_rsdv_gd_zs` (R&D as % GDP) and `wdi_tx_val_tech_mf_zs` (high-tech

export share) proxy R&D infrastructure and its outputs; `atl_sitc_eci` and `atl_sitc_coi` measure economic complexity itself — diversified, sophisticated economies are the ones for which specialized institutional support has actually been built. All positively oriented.

Indicator	Source	Direction	Gloss
<code>wdi_lp_lpi_infr_xq</code>	QoG/macro	+	Logistics Performance Index — infrastructure
<code>wdi_is_shp_gcnw_xq</code>	QoG/macro	+	Liner Shipping Connectivity Index
<code>wdi_gb_xpd_rsdv_gd_zs</code>	QoG/macro	+	R&D expenditure (% GDP)
<code>wdi_tx_val_tech_mf_zs</code>	QoG/macro	+	High-tech exports (% manufactured exports)
<code>atl_sitc_eci</code>	QoG/macro	+	Economic Complexity Index
<code>atl_sitc_coi</code>	QoG/macro	+	Complexity Outlook Index

Contract enforcement

Courts that resolve commercial disputes predictably and protect property. V-Dem has the strongest battery here. `v2xcl_prpty` is the property-rights composite. `v2juncind` (lower court) and `v2juhcind` (high court) capture freedom from political pressure on judges. `v2juhccomp` is more demanding still — it asks whether the government *actually complies* with rulings it dislikes, the real test of judicial enforcement. `v2jucorrdc` measures judicial bribery; V-Dem’s ordinal coding runs from “Always” (low) to “Never” (high), so high = less bribery and no flip is needed. `v2juaccnt` captures whether judges face accountability when caught in misconduct. All six run positively.

Indicator	Source	Direction	Gloss
<code>v2xcl_prpty</code>	V-Dem	+	Property rights (V-Dem composite)
<code>v2juncind</code>	V-Dem	+	Lower court independence
<code>v2juhcind</code>	V-Dem	+	High court independence
<code>v2juhccomp</code>	V-Dem	+	Government compliance with high-court rulings
<code>v2jucorrdc</code>	V-Dem	+	Judicial bribery (V-Dem coding: high = less bribery)
<code>v2juaccnt</code>	V-Dem	+	Judicial accountability for misconduct

Subsidies / clientelism

PSW define “subsidies” broadly to include directed credit, tax breaks, and any state transfer that benefits specific firms or coalitions rather than the economy at large. The unifying logic is particularistic distribution. V-Dem’s `v2xnp_client` (clientelism index) is the cleanest match — a Bayesian composite of how much politics is built on selective material incentives. We supplement with three indicators that need flipping to face the right way: `v2dlencmps` is the same particularistic-vs-public-goods variable used for common infrastructure (high there means public goods, the *opposite* of clientelistic spending, so we flip); `v2psprlnks` runs from clientelistic (low) to programmatic (high) party linkages, also flipped; `v2elvotbuy` is V-Dem’s vote-buying indicator with the usual “low = systematic, high = none” coding, flipped. The axis score is high when more of the policy mix flows through targeted, particularistic channels.

Indicator	Source	Direction	Gloss
<code>v2xnp_client</code>	V-Dem	+	Clientelism index
<code>v2dlencmps</code>	V-Dem	- (flipped)	Particularistic vs. public-goods spending
<code>v2psprlnks</code>	V-Dem	- (flipped)	Party linkages (clientelistic to programmatic)
<code>v2elvotbuy</code>	V-Dem	- (flipped)	Vote buying (V-Dem coding: high = less)

Exclusivity

Barriers to entry, licensing regimes, regulatory rents that protect incumbents. V-Dem’s **v2x_neopat** (Neopatrimonial Rule) is the cleanest political-side measure — rule by personal authority *substitutes* for impersonal market access, which is what exclusivity is in PSW’s frame. **v2psparban** (party ban) and **v2psoppaut** (opposition autonomy) capture political exclusivity in a strict sense; both need flipping (high values mean *less* banning / *more* opposition autonomy, i.e. less exclusivity). From QoG we add two market-competition measures, both flipped: **qog_fi_reg** is Fraser’s business/credit/labour regulation score where *higher* means *less* restrictive regulation; **qog_bti_mo** is BTI’s organisation-of-market-and-competition where higher means a *more* competitive market. The axis score is high when the institutional environment favours incumbents over entrants.

Indicator	Source	Direction	Gloss
v2x_neopat	V-Dem	+	Neopatrimonial Rule index
v2psparban	V-Dem	- (flipped)	Party ban (V-Dem coding: high = no ban)
v2psoppaut	V-Dem	- (flipped)	Opposition party autonomy
qog_fi_reg	QoG/macro	- (flipped)	Fraser regulation index (high = less regulation)
qog_bti_mo	QoG/macro	- (flipped)	BTI organisation of market and competition

Axis scoring

Countries with full axis coverage: 172

Stakeholder fit scores

For each country and each stakeholder, the **fit score** is the average of the country’s axis scores over the axes that stakeholder demands. Equivalently: “out of 1, how well does this country supply what stakeholder X is asking for.” We then renormalise the four scores to sum to 1 to read them as a *stakeholder share*.

The share interpretation has a built-in caveat. The four preference vectors overlap (e.g., contract enforcement is wanted by everyone except powerbrokers), so the share isn’t a clean decomposition — it’s a similarity-based approximation of which stakeholder profile a country’s institutions most resemble.

Top countries by stakeholder fit

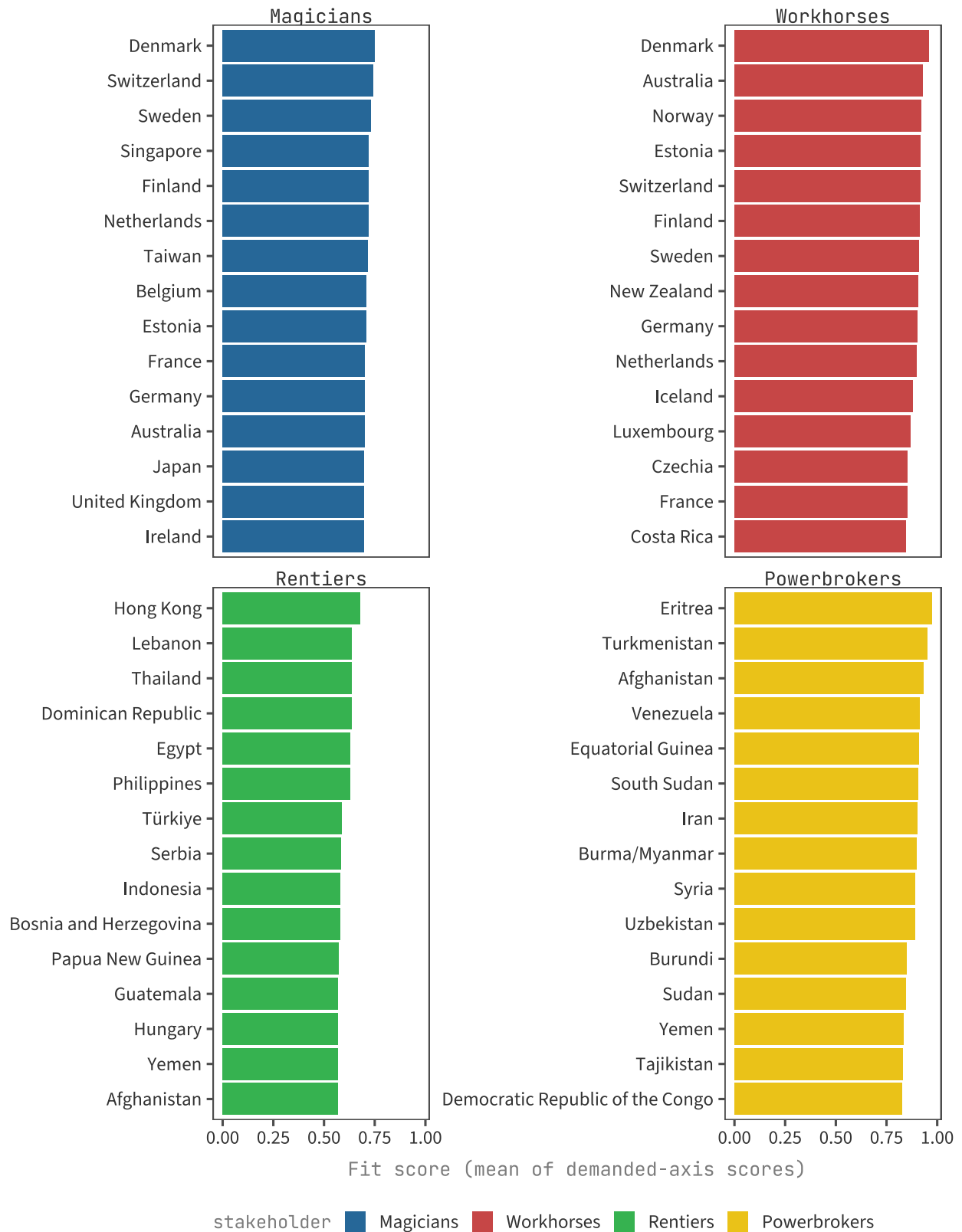


Table 2: Top 10 country fit per stakeholder (fit score in parens)

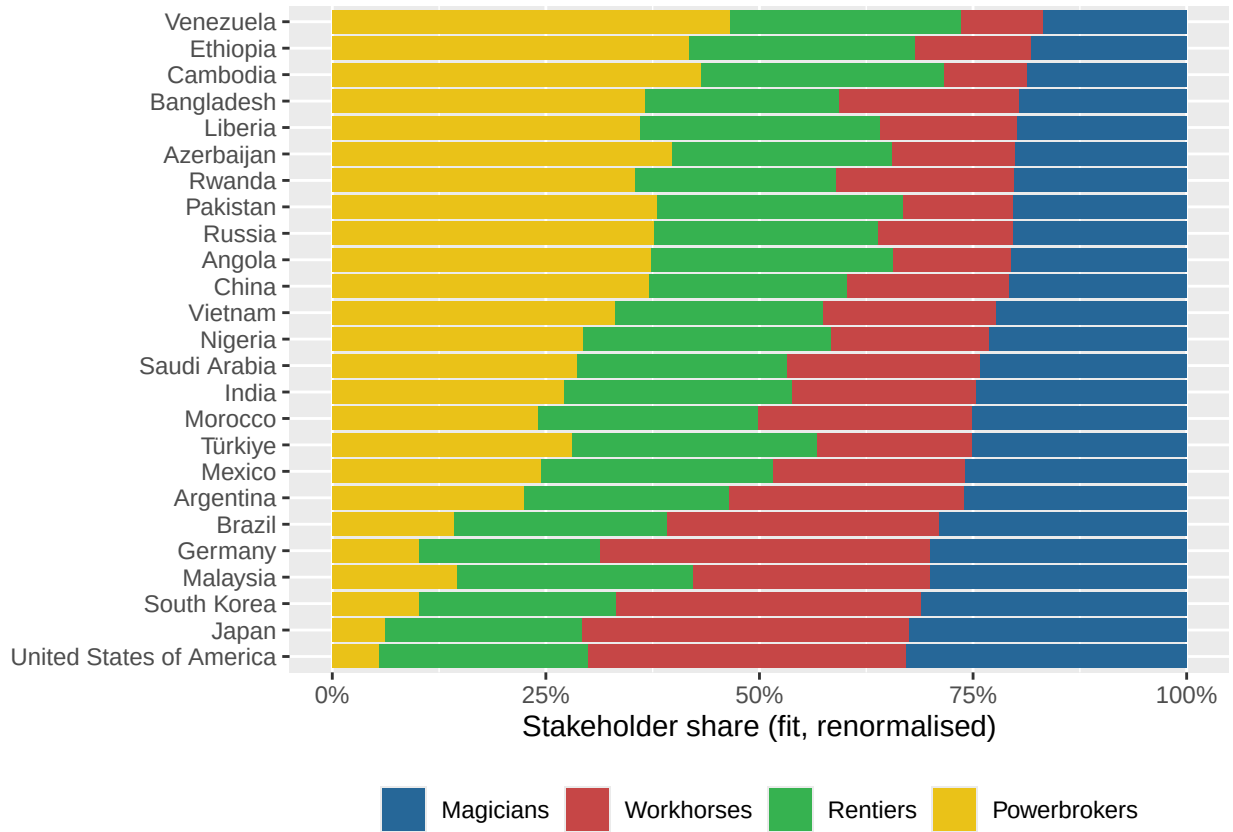
rank	Magicians	Workhorses	Rentiers	Powerbrokers
1	Denmark (0.75)	Denmark (0.96)	Hong Kong (0.68)	Eritrea (0.97)
2	Switzerland (0.74)	Australia (0.93)	Lebanon (0.64)	Turkmenistan (0.95)
3	Sweden (0.73)	Norway (0.92)	Thailand (0.64)	Afghanistan (0.93)
4	Singapore (0.72)	Estonia (0.92)	Dominican Republic (0.64)	Venezuela (0.91)
5	Finland (0.72)	Switzerland (0.91)	Egypt (0.63)	Equatorial Guinea (0.91)
6	Netherlands (0.72)	Finland (0.91)	Philippines (0.63)	South Sudan (0.90)
7	Taiwan (0.72)	Sweden (0.91)	Türkiye (0.59)	Iran (0.90)
8	Belgium (0.71)	New Zealand (0.91)	Serbia (0.58)	Burma/Myanmar (0.90)
9	Estonia (0.71)	Germany (0.90)	Indonesia (0.58)	Syria (0.89)
10	France (0.70)	Netherlands (0.90)	Bosnia and Herzegovina (0.58)	Uzbekistan (0.89)

Stakeholder profile of selected countries

A few well-known cases — including those Pritchett, Sen & Werker themselves apply the framework to in their book (Bangladesh, Cambodia, Liberia, Malaysia, Rwanda) — alongside reference economies and resource-dependent states.

Stakeholder shares – selected countries

Renormalised so the four stakeholder fits sum to 100% per country

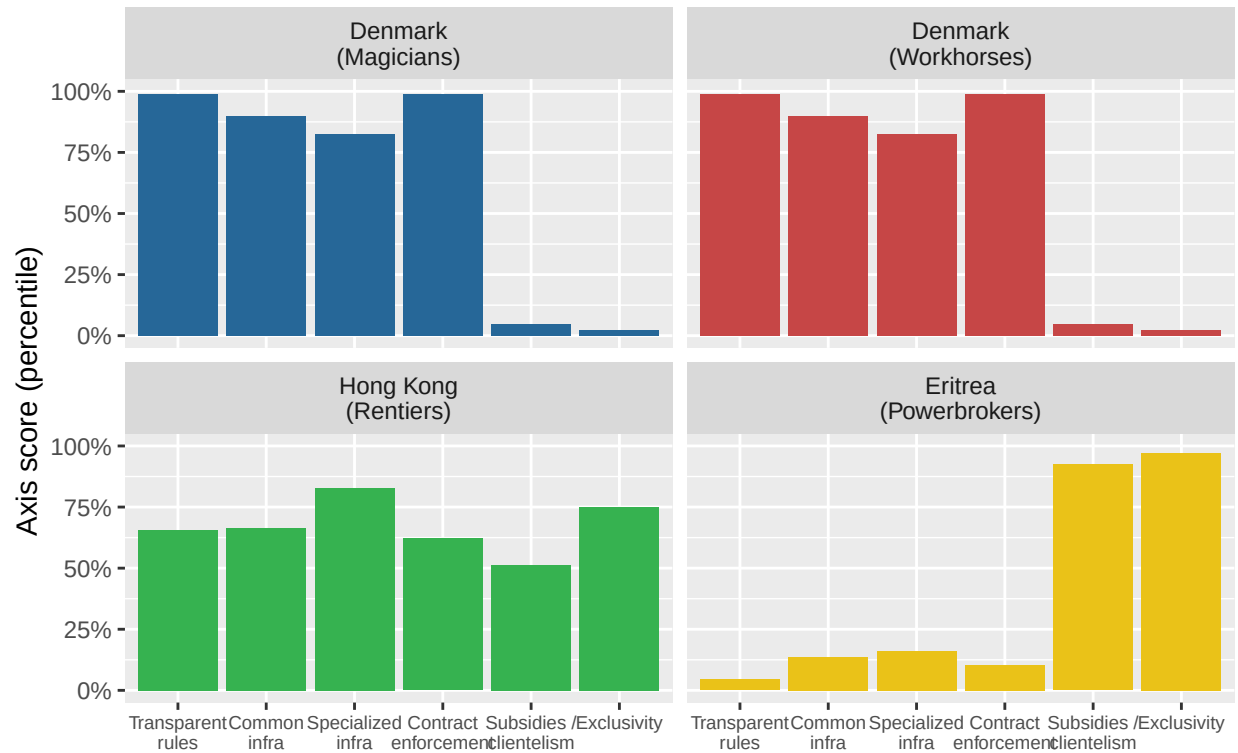


Axis profile of archetypal countries

For one country at the top of each stakeholder's ranking, what does its 6-axis institutional profile look like?

Six-axis institutional profile of each archetype

Top-ranked country on each stakeholder's fit score



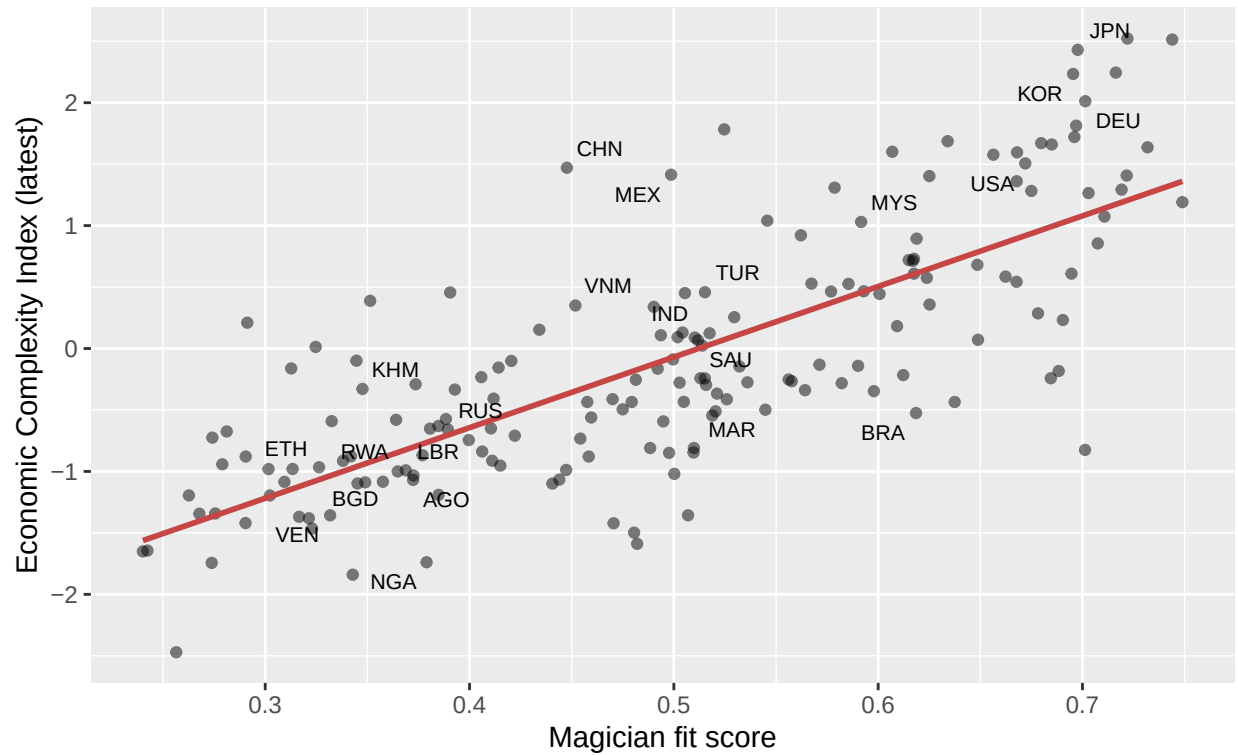
Sanity checks

Magician fit vs. Economic Complexity

If the framework holds, magician-style institutions (transparent rules, contract enforcement, public-goods spending) should be associated with diversified, sophisticated export baskets. We expect a positive but imperfect relationship — magician-friendly institutions are a *precondition* for complexity, not a mechanical determinant.

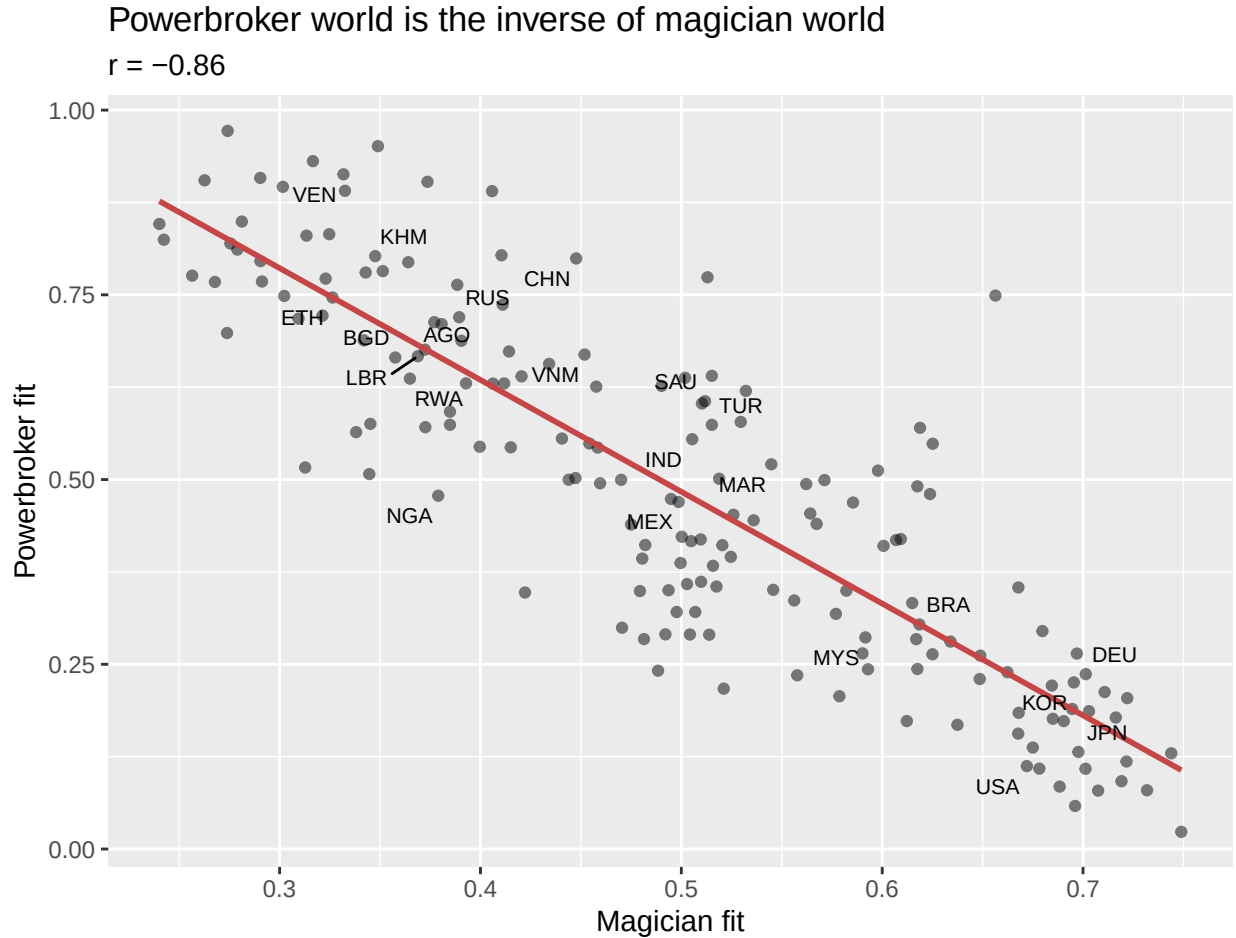
Magician institutions vs. economic complexity

$r = 0.77$



Powerbroker vs. magician fit

These two stakeholder types have nearly orthogonal demand vectors — magicians want everything except exclusivity, powerbrokers want only exclusivity (and benefit from the absence of everything else). Their fits across countries should be strongly negatively correlated.



Outputs

Wrote: outputs/deals_stakeholder_fit.csv (688 rows)

Wrote: outputs/deals_axis_scores.csv (172 rows)

Caveats and next steps

- **The share interpretation is approximate.** Preference vectors overlap (most stakeholders want contract enforcement; only powerbrokers affirmatively want exclusivity), so the renormalised shares aren't a proper decomposition of bargaining power — they're a similarity index rescaled.
- **Powerbrokers reduce to “high exclusivity.”** With only one demanded axis, the powerbroker fit is mechanically the exclusivity score. That is by construction of PSW's matrix, not a flaw in scoring, but worth flagging when reading rankings.
- **Magicians and workhorses are correlated by design.** They share four of five demanded axes, so their rankings will track each other; the separation lives almost entirely in specialized infrastructure and subsidies/clientelism.
- **No infrastructure stock data in V-Dem.** Common-infra and specialized-infra rely on WDI access/quality variables, which have more measurement noise and patchier coverage than V-Dem.

- **PSW's per-country rents-space estimates** (e.g. Liberia ~10/25/61/3, Malawi ~22/37/36/small for rentiers/powerbrokers/workhorses/magicians) could serve as ground truth for a few cases. Worth a follow-up comparison.

The unsupervised counterpart (archetype analysis on the 6-axis matrix, recovering 4 latent stakeholder types from the data alone) is a companion exercise documented in **deals-and-development.md**.